

Back to the Land, Back to the Future:
Eileen Fisher & Sustainable Fashion
MGT 663 - Dean

Introduction & Company Overview

Eileen Fisher (EF) has been a trailblazer in the women's fashion industry since the 1980s. Although they haven't always been sustainable, they have established much of the groundwork of the sustainable fashion industry through an innovative and rigorous set of internal policies and initiatives spearheaded by the VP of Social Consciousness, Amy Hall, who we were able to interview for this project.

First, back to basics: Eileen Fisher was a graphic designer who returned from a Japan trip with the inspiration to make flowy essentials that matched easily and would thus help working women get dressed easier (what we now refer to as capsule wardrobes). She brought some samples to a tradeshow and orders started flowing in. Despite being described by customers as “the brand my mother wears” as Ms. Hall laments (regardless of the age of the person in question), Eileen Fisher's eponymous brand has developed into a small but iconic company with staying power.

Headquartered 45 minutes north of New York City in Irvington, NY, Eileen Fisher (EF) is both a benefit corporation and a B Corp. EF has never accepted funds from investors and is valued at \$400 million, held 60% by Eileen herself, and 40% by her 1200 home office and field employees via an ESOP (B Staff, 2020). The company operates 56 retail stores as well as sells wholesale; online sales only generate 20% of its total sales but Ms. Fisher plans to augment that figure as part of the company's pandemic response (Yotka, 2020).

Despite its down-to-earth, even somewhat matronly style and much of the same leadership since the 1980s and '90s, EF continues to lead and has the most impressive sustainability initiatives we have ever seen in the clothing industry. These include Vision 2020, Horizon 2030, the Eileen Fisher Grant for women in environmental justice, Waste No More, and Eileen Fisher Renew, which is a take-back, refurbishment, and resale program that has been in place since 2009, before the word “circularity” had gained much traction. Outside of the Tiny Factory which sorts, grades, processes, and reconstructs garments for the Renew program, the company's position in the value chain generally falls into the design, retail and wholesale – however, as we discussed with Amy Hall, EF has a very robust degree of insight and influence with farms as it wraps up its Vision 2020 program and moves toward Horizon 2030.

History and Characteristics of the Fashion Industry

There is no ideal starting point when describing the history of the fashion industry since individuals have been clothing themselves since the beginning of time. However, the story of clothing in the US is worth going back at least a century. Prior to the overwhelming offshoring of clothing and other mass-produced consumer goods, clothing was both handmade (often by a family member, though clothing handmade by a business was also common) and made in factories in the US. Early labor abuses and resulting tragedies such as the 1911 Triangle Shirtwaist Fire led to widespread unionization and in the 1960s, 95% of clothes purchased in the US were also made here (Fashionista, 2015). In 2013, only 2.6% of clothes purchased in the US were made here. The story of offshoring our textile and clothing production is not dissimilar to that of other consumer goods. Developing economies offered labor at a lower hourly rate than the US's own mills and factories could offer, and international trade agreements like NAFTA eliminated restrictions to outsourcing. Even with the vastly increased transportation cost it is still cheaper to manufacture elsewhere, especially once the US's textile and clothing workers had fully unionized. This leaves American companies at either end of the value chain, with their manufacturing partners in the middle. Developing countries involved with clothing production

famously include South and East Asia, but also include the Americas and concentrated parts of Africa and the Middle East. Frequently, garment workers earn their local minimum wage or less.

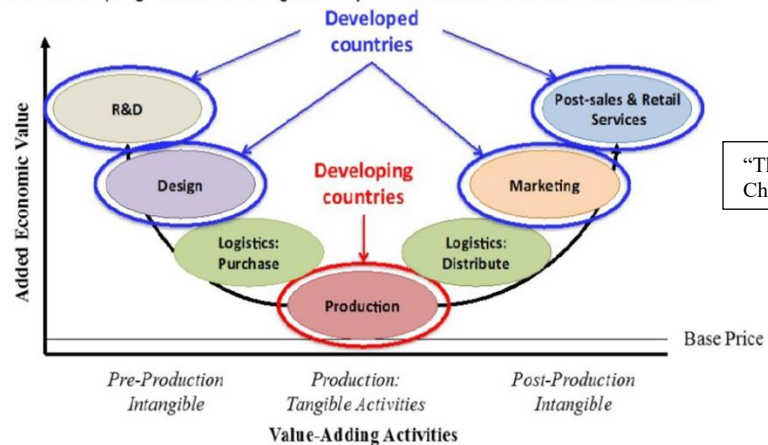
Until the mid-20th century clothing everywhere was made of natural fibers because they were the only materials available. The world of natural fibers is more diverse than we might

think – cotton, linen, flax, wool, tree fiber, and of course silk. 1931 saw the invention of nylon, a fabric made entirely of petroleum, at DuPont. WWII saw its popularization as a textile in women’s fashion as well as the further addition of acrylic as a lab-made petroleum-based textile for clothing. It was only in 2019 that the scientific community realized that nylon,

acrylic, polyester, and even their recycled counterparts are releasing unimaginable numbers of microplastics too small to filter out into all water everywhere as we wear and wash them. This issue has yet to enter the public consciousness on a widespread level.

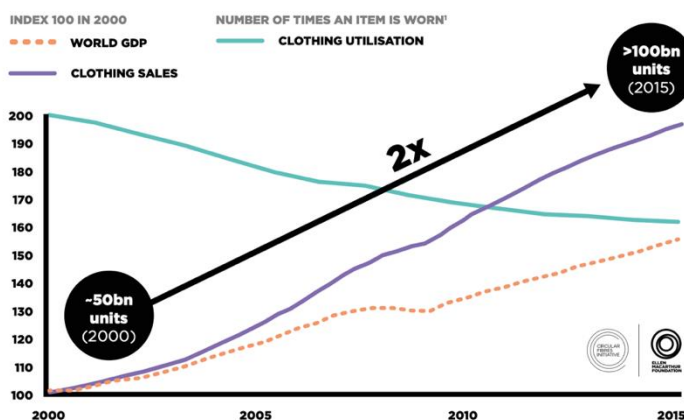
Continued offshore production with attendant production and freight emissions as well as the use of cheap fibers that harm health and environment have created a particularly pernicious mix of industry conditions that we collectively refer to as “fast fashion.” Fast fashion comprises most of the clothing industry’s \$2.5 trillion in annual sales and includes the frequent release of new products by companies with no plan for the post-sale life of the product. With the average American buying 68 new items of clothing per year (Minhaj, 2019), fast fashion is also defined

There has been a tendency for developed countries to concentrate in higher value activities while developing countries are generally concentrated in lower value activities



Source: Fernandez-Stark, Karina, Stacey Frederick and Gary Gereffi. (2011). "The Apparel Global Value Chain: Economic Upgrading and Workforce Development." In G. Gereffi, K. Fernandez-Stark & P. Pilos (Eds.), *Skills for Upgrading: Workforce Development and Global Value Chains in Developing Countries*. Durham: Center on Globalization Governance & Competitiveness and RTI International.

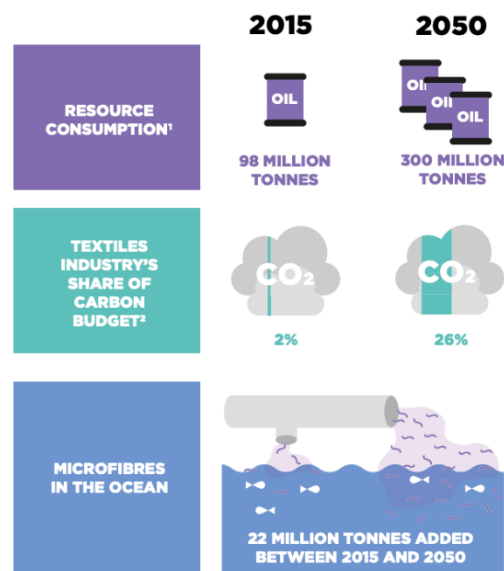
FIGURE 1: GROWTH OF CLOTHING SALES AND DECLINE IN CLOTHING UTILISATION SINCE 2000



as the frequent purchase and disposal of clothes by consumers with the average lifespan of an item of clothing being six months (“A New Textiles Economy”, 2019). By another metric, half of the annual items purchased by American women are worn three times or fewer (Minhaj, 2019). The graphic to the left from the Ellen MacArthur Foundation shows this trend and further links it to an increase in world GDP, reminiscent of the Kaya Identity.

The industry is coming to be known in the environmentally conscious US consumer base as one of the top polluters in the world. Just looking at aquatic pollution, we have the largely unregulated release of pesticides used in fiber growing at the farm level, dyes and other chemicals at the mill and factory level, and microfibers into the waterways at the production and consumer levels. 20% of global water pollution comes from textile production and treatment, while half a million tonnes of plastic microfibers are added to the oceans each year (“A New Textiles Economy”, 2019). In terms of greenhouse gas emissions, fashion was responsible for 1.2 billion tonnes of CO₂ equivalent in 2015 and is set to continue largely unchecked.

FIGURE 4: THE NEGATIVE IMPACTS OF THE TEXTILES INDUSTRY ARE SET TO DRASTICALLY INCREASE BY 2050



“A New Textiles Economy”, 2019



The world’s top ten companies in the greater industry by sales volume are a mix of athletic, designer, trend-driven casual, and discount apparel. If these companies have much of a social or environmental focus at all, it has been reactive rather than proactive; for example, engaging in CSR to ensure that the brand is not associated with another factory collapse like Rana Plaza or child labor exposé. Topping the charts at \$4 billion in sales annually, Inditex owns Zara, Massimo Dutti, and Pull+Bear. Zara is infamous for a hyper-accelerated product release schedule compared to other companies, sometimes coming out with new product every week for weeks at a time. Its success in what we dub the “trend-driven casual” category is based on a nimble ability to create “a see now, buy now retail environment” based on what is on the runways (Minhaj, 2019). Its conventional fabrics, sweatshop and child labor use, and failed sustainability initiatives such as a takeback program where clothing was discovered to have been dumped on African communities in which it has no use and it is

commonly incinerated (Minhaj, 2019). Pillars of the company’s success include “quick response”, in which staff constantly sweep the internet for design direction, and “dynamic assortment”, in which companies release new product at least once per week, if not more frequently. H&M (\$1.28 billion) has similar practices. This stands in contrast to “legacy brands” in the same category, notably Gap (\$537 million annual sales) and its subsidiaries, who spend approximately two years developing each product launch and release these products once every few months (Minhaj, 2019).

Nike weighs in at \$3B annual sales and enjoys its status as the ubiquitous activewear brand alongside its main rival Adidas (\$1.06 billion annual sales). Although they are in a much different category from EF, we argue that all clothing brands should be seen as alternatives, especially as coronavirus work-from-home culture prioritizes comfort over appearance and creates the rise of the “Zoom mullet.” Although many assume Nike has cleaned up its supply chain over its 1990s reputation for sweatshop labor, it continues to miss on key labor points of improvement: it has failed to sign the Bangladesh Fire & Safety Accord, an initiative intended to prevent future tragedies like the Rana Plaza factory collapse, and in 2017 it ceased to allow the NGO Workers’ Rights Consortium to inspect its factories (Hymann, 2020). In the discount brand

category, we see TJX (TJMaxx and Marshall) at \$1.97B, Ross Stores at \$1.06B, and Burlington (the self-proclaimed “coat factory” actually specializes in discount clothes) at \$6.1B. These brands all sell to a range of ages and genders, often catering to families, and typically make no claims about environmental impact or ethical labor. Also, among the top ten by sales volume we have the French fashion houses that have dominated since the early years of modern fashion, including LVMH (Louis Vuitton, Givenchy, Dior, Marc Jacobs) at \$2.33 billion, Hermès at \$1.35 billion, Richemont (Chloé, Cartier, Net-a-Porter) at \$1.07B, and Kering (Gucci, Balenciaga, Alexander McQueen) at \$943M. Although Eileen Fisher portrays itself as and is regarded as a more down-to-earth brand, its price point is actually more similar to that of the aforementioned designer brands than any of the other major players in the apparel industry. EF’s prices typically range from \$100-\$400, with Eileen Fisher Renew items falling between \$50 and \$100 as only like-new quality garments are sold through this channel.

Porter’s Five Forces and the Rise of Slow Fashion

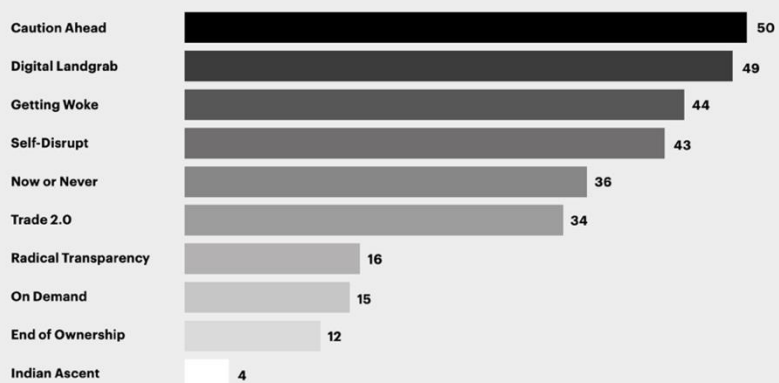
This overview of the world’s top clothing companies by sales volume tells a rich story of haves, have-nots, and environmental apathy. To apply Porter’s Five Forces to the apparel industry is to recognize the burgeoning force of the environmental movement, reflected in large part in the survey McKinsey conducted among apparel executives, below. In terms of threat of new entrants, we are witnessing the rise of Eileen Fisher’s specific sub-industry, slow fashion: a return to natural fibers, the use of recycled and deadstock materials, digital printing, ethical labor (whether that is domestic production or ethical production abroad falling under fair-trade and similar certifications) and closed-loop production wherein producers assume responsibility for the product after the consumer has owned and worn it.

Despite being around since 1984, EF is often regarded as a new entrant and in actuality is more under threat from newer entrants like Mara Hoffman, Amour Vert, People Tree, Christy Dawn, Kowtow, Whimsy + Row, Vetta Capsule, Hackwith Design House, and countless small businesses and ateliers gaining traction on Instagram and via sites like The Good Trade, podcasts like Conscious Chatter, and apps like Good on You. There is certainly a threshold for capital required to be a successful entrant to the industry of slow fashion, and it generally falls in the realm of human capital and whether the brand has a passionate, patient, and resourceful designer who can pull double-duty in an operations role until enough capital is acquired to hire more staff. Given the passion of many slow fashion customers, new businesses are welcomed in online communities and customers readily use the internet to comp shop. Unfortunately for EF, given their price point, it is much easier to enter their competition than the discount apparel industry because of economies of scale. A new business or atelier can make a reasonable margin selling at

Exhibit 2:

The economic backdrop, the evolution of digital offerings and younger consumers’ passion for causes are front of mind for executives

% OF RESPONDENTS THAT RATED EACH THEME AS ONE OF THE TOP THREE IMPACTING THEIR BUSINESS IN 2019



SOURCE: BOF-MCKINSEY STATE OF FASHION 2020 SURVEY

the same price point as EF even with small quantities and similar sustainability values. Despite opportunities for new entrants only bounded by consumer confidence, EF has been nothing but a mentor for other industries in the field and fosters its competition for the good of slow fashion.

EF benefits from many incumbency advantages such as a well-established supply chain, network of retail stores, and goodwill from industry players who have come to them for advice on everything from regenerative farming to regenerating post-consumer clothes. However, customers generally aren't swayed by these advantages and will often seek out trends even if they would not self-identify as trend seekers. Even if they are environmentally conscious, they are still influenced by the same culture that drives Zara's success with its "dynamic offerings" and "quick response." Competitors are proving that it is possible to follow the fashion zeitgeist and build brand relevance through aesthetic appeal while maintaining values that the slow fashion customer has come to expect. Very few slow fashion customers fixate on a specific sustainability attribute and many will accept fair-trade, direct-trade/artisan-made, and domestic production as roughly equal alternatives, in addition to treating organic cotton, cellulose fibers, and recycled synthetics as acceptable alternatives. In other words, the threat of substitutes is off the charts. EF's strategy may be imperfectly imitable in that it has a unique mix of leadership continuity, iconic style, and socio-environmental impact; however, up-and-coming brands can satisfy consumers' desire for EF's style without making it their entire *raison d'être* and additionally impress them with their own values and brand relevance. This shifting threat of substitution is fueled by shoppers' ability to comp-shop online, prompting executives' choice of "Digital Landgrab" as one of the top three pressures their business faces in the McKinsey survey; this sentiment was echoed by Amy Hall as well in our interview.



As indicated in the history of offshoring US production after the rise of union-made clothes, suppliers have little power in this realm and a whole host of NGOs have formed around advocating for and protecting them. Clean Clothes, The Fair Wear Foundation, The Garment Worker Center, The Centre for Sustainable Fashion, The Solidaridad Network, Labour Behind the Label, and CARE International are just some of the organizations advocating for garment and textile workers. In addition to their policy advocacy, these organizations frequently marshal social media campaigns like #whomademyclothes. These organizations have no formal power but use consumer bargaining power to help create change. Select fashion companies like Eileen Fisher also work on behalf of the suppliers to create change, as we explore in our description of their supply chains, Vision 2020, and Horizon 2030. It is unusual for a fashion company to have EF's degree of involvement with fiber suppliers and manufacturers and should be regarded as a strength and a weakness for EF as they build out infrastructure that other companies will use as they "green" their businesses.

Enter the all-powerful buyers. Because there are no switching costs between the industry's many competitors and all consumers are influenced to some degree by trends, sales are a direct reflection of a company's ability to help customers express what they would like to express about themselves. Millennials are "almost twice as likely as baby boomers to prefer up-and-coming designers" to the incumbents and household names. 79% of McKinsey survey

respondents said that “Self-Disrupt” was among the top five pressures facing their company in 2019 to adapt to millennial and gen Z brand preferences and benefit from some of their \$350 billion in annual spending power in the US alone. These measures include a stronger social media presence with higher interactivity, a matching stance on issues like Me Too, Black Lives Matter, and Time’s Up, and labor and environmental practices that can withstand intense internet-fueled scrutiny (Amed et al., 2019).

An extremely important group that has been disenfranchised but is gaining power with the advent of internet comp-shopping and Instagram influencers is plus-sized women. One Instagram influencer, Marielle Elizabeth (@marielle.elizabeth), has almost 40,000 followers (including Eileen Fisher’s company account) and focuses on ethical brands. She is direct about what shoppers such as herself have been looking for over the years and clearly articulates brands’ failings when they use “straight-sized” models to show plus-sized clothing, ignore important design elements for plus-sized women, and offer only a few plus sizes – all of which are mistakes that EF has made and continues to make. Marielle Elizabeth’s articulate and informed views and collection of similar shoppers’ experiences provide a heart-wrenching glimpse into the experiences of 67% of American women who wear above a size 14, representing \$20 billion annually in spending power (Lamare, 2018). Women in this category and spending in EF’s price range often bring their incredible spending power to tiny companies and ateliers in the US and Canada such as Nettle’s Tale, Alder Apparel, and Franc; these businesses are designing for and speaking directly to them as well as offering straight sizes XXS-XL and checking the boxes for ethical consumers. Instagram is a free resource for understanding the power of buyers and brands neglect influencers at their peril.

In many ways, EF is already succeeding in many of the progressive arenas in which other brands are failing. Its female leadership, gender-neutral clothing line, and rigorous social/environmental sustainability measures are exactly what millennial and gen Z shoppers look for – in other brands.

Success Factors and Outlook

EF has had steady growth since 1984 because it occupied a niche in the market. Loose-fitting professional wear of natural fibers with pockets stood in stark contrast to the overly structured wool-poly skirt suits of the 1980s, 1990s polyester “power” pantsuits, and preppy blazer-and-skinny-jeans trend of the early 2000s as offices became more casual. However, the last ten years has seen the normalization of comfort, pockets, and sustainability – with that normalization, these attributes have become widely available outside of the luxury market that EF occupies. Whether EF can self-disrupt and repackage its value proposition to gain the respect of gen Z and millennial shoppers with its existing rigorous sustainability attributes and an improvement of its style and brand image is the question that will make or break its future.

Strategic Analysis

Vision

Stanford Graduate Schools’ *Beyond Entrepreneurship* states that “the number one responsibility of a leader is to catalyze a clear and shared vision for the company and to secure commitment to and vigorous pursuit of that vision”. Eileen Fisher, who began the organization in the early ‘80s, articulates her eponymous company’s shared vision to stakeholders across the value chain by serving as a leader in chic, sustainable fashion and circularity within the textile industry. Eileen Fisher’s vision includes a purpose statement, core values, as well as strategic

plans to achieve their stated goals. According to their publications, Eileen Fisher's purpose is to "design for simplicity and wholeness—to inspire joy and connection in women around the world", by living and working through their core values of authenticity, connection, trust, innovation through creativity, commitment to the health of the whole, and being united by purpose" (Eileen Fisher, 2020). As a company of over 1200 individuals spanning the complex and global textile industry, Eileen Fisher relies on these time-tested commitments to the environment, human rights, and women and girls in order to build a strong foundation and high-quality brand. To further develop these values and purpose statement, Eileen Fisher has published iterations of their strategy online, the most recently completed is known as Vision 2020 and the next 10 years of goals are outlined in Horizon 2030.

Business Units

Eileen Fisher is a women's luxury fashion company with the aim to simplify the dressing process and inspire women to be themselves. The organization specializes in the clothing design, manufacturing, and business to consumer retail sales of their clothing brand. EF reaches their diverse customer base through implementation of a variety of business units. The largest of these is their network of over 60 private-label retail stores in the US, Canada, and the UK which display their collections of simple, sophisticated, comfortable and timeless styles (Fernandez, 2017). Another critical business unit that EF operates in is that of a wholesaler which provides clothing to other multichannel retail businesses (luxury department stores). These department stores expand EF's reach to Ireland, Israel, South Africa, and the UAE (in addition to other hard-to-reach locations within the US/Canada) and include the likes of Nordstrom, Neiman Marcus, Macy's, and even Marshalls (Eileen Fisher, 2020). Increasing importance is EF's business unit of e-commerce and their online presence. This includes both their private brand website (eileenfisher.com), presence of product and branding on department store websites, as well as links/tags/shares of their site on social media apps and websites (Like to Know It, Instagram - Shop Now, etc). These outlets are increasing in sales traffic and volume, popularity, and necessity, especially given the current health crises which prevented many retail stores (both private label and department) from operating at full capacity, thereby reducing the amount of sales made via brick and mortar interactions.

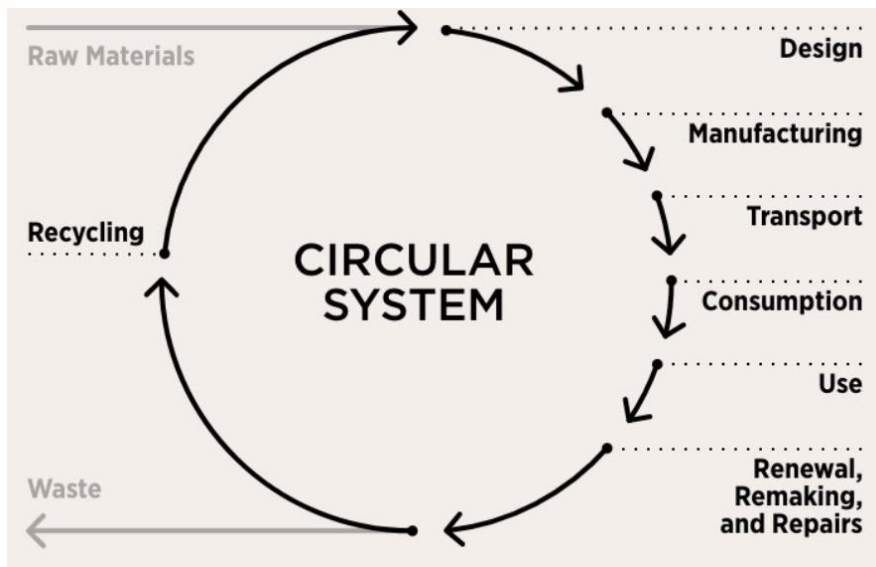
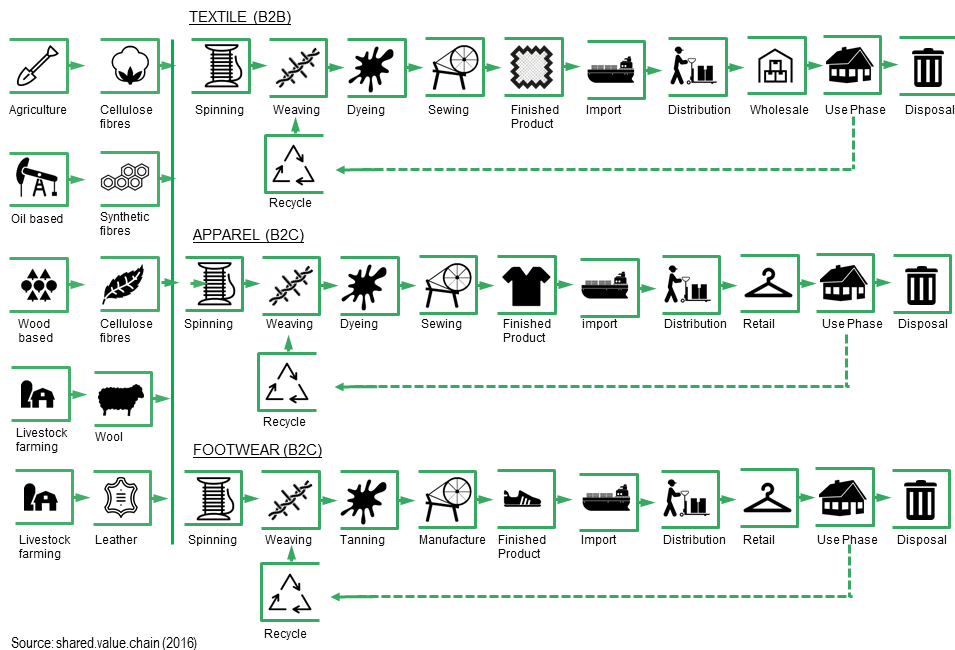
Through this online platform, EF also provides personalized styling and stylist bookings to assist individuals transitioning to the system-type and more capsule wardrobe which Eileen Fisher offers. This consultancy type business unit seeks to further Eileen Fisher's value and service provided with the price of their clothing and growing their personal touch regarding luxury slow fashion. Perhaps the largest business unit for Eileen Fisher is their EF Renew brand, which debuted in 2009 and is a one of a kind take-back program which "embodies our commitment to build a circular design system and create a future without waste" (Eileen Fisher, 2020). EF Renew operates on a separate e-commerce platform and has two flagship retail locations (NYC and Seattle) which proudly display the recycled and refabricated materials, as well as an art and design initiative (Waste No More) based on these textiles. Renew will be further discussed in the impact assessment and financial assessment. Lastly, Eileen Fisher practices what they preach and operate in the business unit of corporate philanthropy via the Eileen Fisher Community Foundation. The Foundation houses the Eileen Fisher Leadership Institute, which brings young women together to discuss the industry, arts and leadership education, as well as serving as the donation arm of the organization. This business unit champions consciousness via community partnerships, policy engagement, and grants.

Value Chain

The idea of a circular textiles and apparel value chain (where Eileen Fisher operates) is outlined in their Horizon 2030 strategy and implementation plans. However, a typical apparel value chain is described below, via sharedvaluechain.com. Eileen Fisher's primary role is that in the design, distribution, wholesale, retail, and disposal (reuse) scope of the value chain, whereas most apparel brands do not invest in proper disposal or reuse of their textiles. However, EF's Social Consciousness director, Amy Hall, considers the organization an influencer and force for change in each aspect of the value chain, through the company's commitment to sustainability, ethical sourcing, and fair treatment of workers. Eileen Fisher states "We believe in paying attention to what happens in the field, the dyehouse and our customers' washing machines. Our goal is to design out negative impacts—and design in positive change" (Eileen Fisher, 2020). This is further evidenced through their Benefit Corps reporting and website, which outlines their commitment to an ethical supply chain and the steps they are taking to play a pivotal role of positively influencing each sector. In the fashion industry, the value chain begins with the bulk raw material. In the case of EF, this is organic cotton, regenerative cellulose based fibers, responsible livestock farming for wool, silk, and leather, as well as recycled and repurposed fabrics. In the spinning, weaving and sewing sectors, EF influences the value chain by adhering to SA8000 labor standards and partnering with Fair Working Conditions to assess factories, creating community workshops as an alternative supply chain, and partnering with homeworking business models in Peru and India (as an alternative to mass factory production).

Regarding the dying and tanning sector of the value chain, EF aims to verify chemistry via Bluesign certification, independent and third-party testing, and through their partnership with the Leather Working Group in order to set benchmarks for environmental impact within the tanning industry. EF recognizes that the emissions produced via distribution and shipping off garments account for about 26% of total emissions in their supply chain, and they seek to influence this sector through their Science Based Targets (Eileen Fisher, 2020). Additionally, EF influences this portion of the value chain via their carbon storage and offset model (which is increasing in popularity and use with various retailers and brands). Where EF truly shines is in their wholesale, retail and disposal (reuse) their textiles and apparel, as a member of the Sustainable Apparel Coalition. Eileen Fisher's ethical and transparent business to consumer model is what truly helps the company stand out, especially in their description of the "lives" of their clothes, the Eileen Fisher Renew business unit, and their commitment to a circular system of responsible consumption. EF's strategic plan, Horizon 2030, states that "Our vision is to make clothes in a way that actually makes things better. It will require systemic change, moving away from the linear take-make-waste model to a circular one that reuses or replenishes the resources involved."

THE TEXTILE, APPAREL AND FOOTWEAR VALUE CHAIN



- EF Value Chain

Primary Target Market

Eileen Fishers' primary target market is the conscious consumer (pure green play) and professional working women. The brand originated in the 1980's, through Eileen's inspiration of the kimono, a simple shape which has withstood fashion trends for thousands of years. She recognized the need for a system (uniform style) of clothing which was simple, comfortable, stylish, long-lasting, and sustainable. Typically, the brand is recognized for serving women of a certain age (older generations) and wealthier socio-economic class (professors, editors, therapists, lawyers, administrators), but it has remained relevant because of the organizations' longtime priorities to the health and welfare of people and planet (Read, 2019). During the rise of outsourcing for production gains and exposure of worker welfare in the textile industry in the

1990's, Eileen Fisher lead the fight for worker equity and safety, further cementing the brands recognition as a change-maker. EF become a go-to for individuals who believed in voting with their dollar and using capitalism for change. Because of Eileen Fishers' work and heavy spotlight in the 1990s, the demographic that best resonates with the brand is middle aged (as they were the young consumers at the height of EF's recognition). However, we are seeing a similar repetition in today's charged climate. As sustainability becomes more en vogue and the fashion business is exposed as one of the world's largest material polluters, Eileen Fisher remains strides ahead with their supply chain traceability, certification standards, and circular business model. While their initial target market was one which valued the human-aspect of fashion, younger consumers are concerned with environmental impacts – both areas in which EF has set industry benchmarks.

Additionally, their capsule wardrobe concept and emphasis on long-lasting fabrics directly targets their market of due to recognition that the longer a piece of clothing stays in use, the less frequently a consumer will have to buy something new. Additionally, Eileen Fisher's branding has been at the forefront of inclusivity through the models in their print and ecommerce advertisement. In fact, the initial image on their page is that of who appears to be a professional minority working woman. Earlier this year, Eileen Fisher also released a gender-neutral line in order to further emphasize their desire to bring simplicity to ALL wardrobes. This commitment to diversity appeals to both conscious consumers and professional working women, as well as younger consumers who value and demand representation of minority and/or marginalized communities. In our recommendations section, we discuss out Eileen Fisher's target market of older, professional working women (established) may have to shift to (emerging) younger conscious consumers in order to stay relevant and competitive with new ethical brands.

Customer Value Proposition

The concept of customer value is that of benefits – costs associated with a particular offering. These benefits could range widely from functional aspects, emotional aspects, or life changing aspects and could even be correlated with Maslow's Hierarchy of needs (Perreault, 2021). Costs are typically monetary, or convenience related, but overall, it is important to note that the consumers perception of Eileen Fisher's brand and products determine their value. EF maintains a healthy brand awareness, most notably due to their age, stability, and pioneering decisions in the sector of slow fashion and sustainable apparel. Eileen Fisher's customer value proposition can be described in their website tagline: "A simple wardrobe. A sustainable life". The features of EF include providing a functional and flattering system wardrobe made of natural fibers, satisfying physiological needs. These lead to functional benefits of saving consumers time when getting ready for work, simplifying navigation of the saturated clothing and apparel market, and providing information regarding product lifecycle, material care, and end use (or in EF's case, reuse) of the product. Emotional or psychological features include superior design and aesthetic appeal which could in turn lead to benefits of confidence in working women and conscious consumers, higher levels of satisfaction, and repurchase.

Most importantly, one could argue, is Eileen Fishers' benefits towards life changing aspects, or self-fulfillment and self-actualization needs. When purchasing Eileen Fisher, consumers recognize that they are supporting an organization that makes the world a better place because of its transparent support of the environment, human rights, and initiatives for women and girls. Customers can easily recognize their impact of purchasing from this ethical company and EF clothing provides individuals with a sense of affiliation – that they too are making a difference through sustainability and social consciousness. However, these benefits do come at a

cost – most notably financially because of Eileen Fisher’s high street/luxury price point. Especially in today’s precarious economic climate, it is difficult for individuals to justify a certain price point, even when considering the ethics of a company or their contribution towards sustainable development goals. Despite this high price point which is out of reach for many (which may also result in their typically older target demographic), Eileen Fisher’s supply chain visibility, promise and actions to serve people and the environment, and most importantly a high quality and functional end product, are all factors which create a positive customer value proposition. One must also recognize that CVP applies to internal customers as well, that is employees and suppliers. Eileen Fishers’ steps towards effective partnerships with suppliers and creating a purpose-driven working environment for their employees is further discussed in our impact analysis.

Source of Differentiation and Competitive Advantage

Eileen Fisher’s differentiation is simultaneously the strategy which gives them their competitive advantage (Brown, 2013). The attribute which EF has chosen to differentiate on is providing a superior quality and timeless product which in turn supports a sustainable labor and materials supply chain. Their products’ exquisite design and exceptional functionality, usability, and lifetime disrupts the traditional fast fashion model of purchasing new cheap clothing for every occasion. EF focuses on the quadruple bottom line – environment, human rights, employee wellbeing, and financial interest, all of which contribute to their source of differentiation. We can even sum this differentiation strategy to our eternal statement of DOING WELL by DOING GOOD. On the company website, it is explicitly stated that “At the end of the day, we make stuff. Where it ends up is our responsibility. We start by designing our clothes to last, so they’ll stay in your closet longer. And when you’re done with them, we take them back to resell.” This is further evidence of their differentiation strategy, in that the company values and sells on the circularity of the Eileen Fisher business model. The organization fully understands and implements the cradle to cradle concept of their product rather than the typical cradle to grave, while disrupting modern fast fashion trends in the process.

These factors of differentiation lead to a source of sustained competitive advantage in the industry. For example, not only does Eileen Fisher highlight their sourcing, manufacturing, and production processes, but they also provide free education on how to repair, care for, and recycle their products through their clothing fabric guide. The company begins by sourcing organic natural fibers to mitigate the spread of microplastics and provides an online guide with step by step wash and dry directions, as well as responsible end of use facilitation. Another example is educating consumers on how the “made in” label only relates to the location where a garment is knit or sewn, by highlighting the complicated and complex supply chain of one of their sweaters. This demonstrates how their superior product supports the slow fashion value chain and through these actions, Eileen Fisher creates a meaningful partnership with consumers – further cementing their competitive advantage.

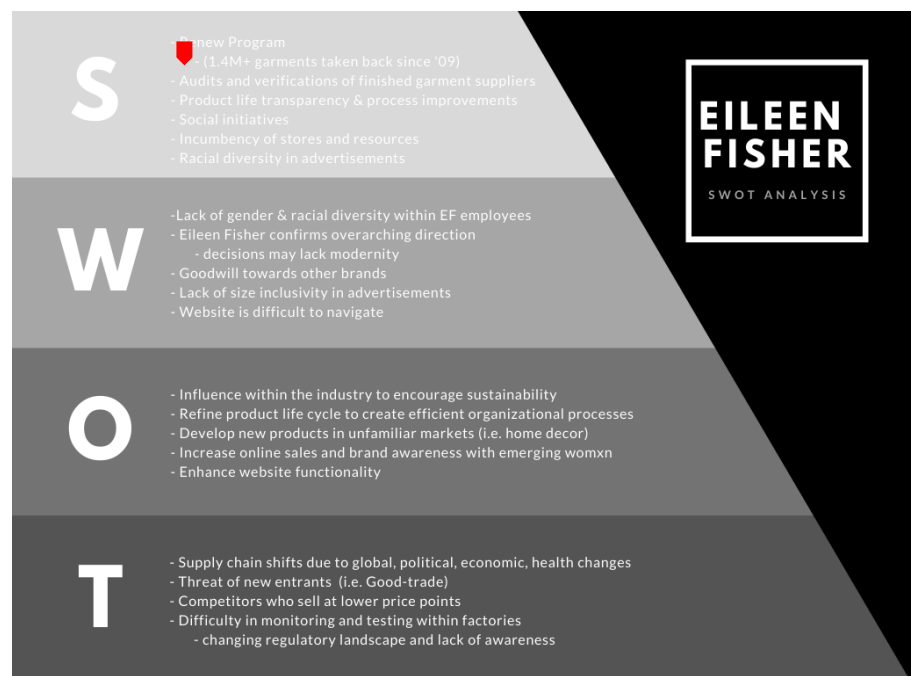
Additionally, their clothing cost reflects this quality along with the costs of organic raw material sourcing, fair labor production, certifications as a NY State Benefit Corporation and B Corp, and environmental and social impacts. Eileen Fisher can sustain this full-cost pricing because of the brand’s reliability, flexible products for enhanced user experience and dynamic impact and influence on the textile value chain. Their pricing enables sustainable development because it is “an accurate reflection of the resources necessary to produce a given product” (Dean, 2014). Their value creating strategy (upon creating in the 80’s), was not simultaneously

being implemented by any competitors, and for several decades, firms were unable to duplicate the benefits of this strategy. Unfortunately, this once unique and inimitable strategy is now being picked up around the world by various retailers striving to break into and dominate slow fashion and the conscious consumer target market. These industry competitors may arise due to Eileen Fishers transparency – which is both a propellor for innovation and a crutch preventing their growth. EF is extremely open about the steps they took, organizations they partnered with, and initiatives in the value chain which have brought them to their current standing. Unfortunately, what the organization accomplished in over 30 years can now be replicated by newer businesses in a much shorter amount of time, because the “yellow brick road” is already available to follow. This is further discussed in our Blue Ocean strategy and recommendations.

Core Competencies

An organization’s core competencies include all tangible and intangible assets, capabilities, organizational processes, firm attributes, information, and knowledge controlled by a firm that enable the firm to conceive and implement strategies that improve its efficiency and effectiveness (Barney, 1991). These resources are often divided into physical capital, human capital, and organizational capital. Eileen Fishers’ core competencies in the physical capital realm include the organizations location as a worldwide retailer headquartered in New York City, a hub for fashion, innovation and action. It also includes their access to raw material – despite a global supply chain for textile raw material, EF has created strong partnerships over their years of operation with key suppliers. Additionally, EF has superior tracking capability because of their investment in technology to improve the value chain. This relates to their farm to factory traceability initiatives, as well as painstaking reviews of any recycled materials submitted to Renew, in order to understand lifetime of fabrics, why individuals discard clothing, and eventually create longer lasting and timeless fashion.

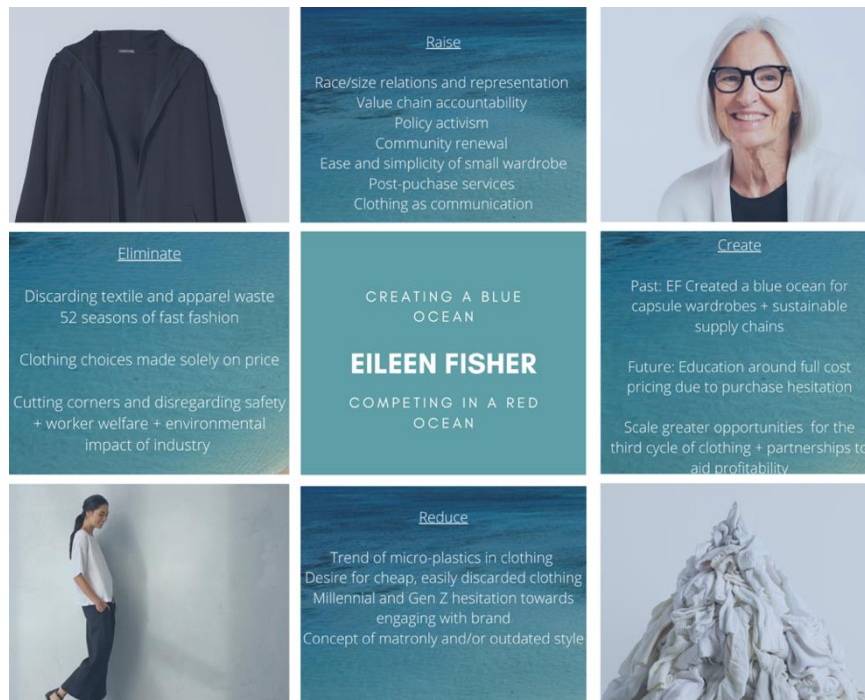
Eileen Fisher is a true pioneer regarding their core competency of organizational capital. This includes their internal Benefit Corp Sustainability reporting, emphasis on employee wellbeing within the organization and via suppliers (graded through extensive survey and reporting metrics), external B Corp impact assessments and coordination and planning of new initiatives through partnerships with environmental and human rights groups. Eileen Fisher has an extensive verification, auditing, certification, accountability, and training programs with all of their suppliers, vendors, and manufacturers – partly due to their long-standing position as an industry pioneer and leader in slow fashion, and partly due to their commitment to stay true to the company’s



values. Eileen Fisher's employees are part and parcel of their core competencies. With Eileen herself at the helm to provide time tested insight and suggestions, and a robust group of stakeholders on their board of directors with extensive experience and intelligence in the fields of finance, retail sales, media production, omni-channel technology, strategy, and investing, EF's human capital truly sets the organization up for success (Publitas, 2018).

Blue Ocean Strategy

EF once creating their own stylistic Blue Ocean with relaxed silhouettes that made it easy for working women to get ready, whilst emphasizing their transparent and ethical supply chain.



This was unheard of during the rise of affordable and available fashion in the 80's and propelled Eileen Fisher to their recognition as a pioneer in sustainable fashion.

Unfortunately, the rise of similar business models and brands is threatening their once-blue ocean strategy, turning the tides into a red ocean. This change will require EF to invest further in education of the full cost of clothing, awareness and accessibility to younger consumers, and partnerships to further promote the "third life" of their clothing.

Impact Analysis

Mission and Values of a Socially Conscious Clothing Brand

In 1984, Eileen Fisher launched her eponymously named company, "Eileen Fisher" – focusing on creating timeless pieces of clothing and elevating awareness to human rights issues. As time evolved, Eileen Fisher (EF) incorporated sustainability as another pillar of their mission. Initially, their customers weren't as responsive to this shift. Despite the lack of interest, EF was aware of the opportunity for long-term impact and continued to move forward – dedicated to building a more sustainable brand. Eventually, their purpose evolved into: "We design for simplicity and wholeness – to inspire joy and connection in women around the world" (Eileen Fisher, 2019). Hallmarks of their values include authenticity, thriving in connection, trusting each other, innovating through creativity, committed to the health of the whole and united by purpose (Eileen Fisher, 2019). Fashion and sustainability are commonly perceived to be at odds. The way consumers view fashion now and how quickly fashion goes in and out of style is having a tremendous impact on the supply chain: farmers, factory workers and natural resources: land, water sources, and most importantly, our planet. EF seeks to role model a different mission --

one that flies in the face of fast fashion and transforms into the quintessential sustainable fashion brand.

Eileen Fisher's shift towards sustainability occurred in 1997 when their social consciousness department was formed. Their three main objectives: practicing business responsibly with absolute regard for human rights, guiding our product and practice word sustaining our environment, and supporting women to be full participants in society (Eileen Fisher, 2020). Over the years, this department has grown and expanded to have significant influence over other departments' affairs. It served as an enabler -- positioning social consciousness as a core value embodied by every employee of EF. As they look towards the future, new sustainability ventures have been implemented: such as Renew, Waste No More, Vision2020 and Horizon2030. The goal of these ventures is to help improve sustainability within the company, direct supply chain employees, and broadly, impact the fashion industry.

The Quadruple Bottom-Line and Company Culture

The company focuses on the quadruple bottom line: environmental, financial, social well-being of both internal and external. Within the environment category they focus on materials, chemistry, carbon and water. Every detail is assessed when trying to learn and find out how their actions will affect the environment. From the start -- knowing where each fiber of material comes from, the dyes that are used to create the vibrant colors, to how customers wash their items and its affect to the water supply. The organization aims to look beyond what's occurring in their factory and focusing on creating a transparent sustainable supply chain, allowing anyone and everyone to see what good the company is doing.

Everyone should have the opportunity to enhance their livelihood and EF does this through empowering women and girls through programs, associations and projects that focus on initiating and bringing awareness to human rights, giving them an opportunity to have their voice heard and educate them about leadership (Eileen Fisher, 2020). In 2019, a new grant program "Supporting Women in Environmental Justice" was initiated along with increasing awareness and focus to create a more diverse and inclusive workplace (Eileen Fisher, 2020).

EF has always been committed to their employees. From its inception, the company has always committed 10% of their annual profits to be distributed amongst the employees. Eventually, EF became a shared ownership business between herself and the employees (A.Hall. personal communication, November 6, 2020). Their financial structure has allowed them to grow in an organic, self-affirming way, without external investor obligations, controlling the narrative they want to tell the fashion industry and world. EF believes internal accountability is a priority. Change must occur within, for external accountability to occur. The story they present to the world cannot occur without internal change. One of those stories is focusing on the concept of circles over lines. Taking full responsibility of what happens to the environment, employees, farmers, materials and resources they use due to their actions.

The factories they work with have SA8000 standards. Diverse training is offered to factory employees and managers focusing on labor and human rights, women's reproductive health, and human trafficking. On a personal front, they provide coaching and education on personal hygiene, stress management, parenting, financials, and relationships. Empowerment and safety at the cornerstone of these educational initiatives, which has instilled a positive working experience in China. Plans exist to expand these initiatives and learnings into other production countries in the future (Eileen Fisher, 2020).

Opportunities for Improvement: Diversity and Inclusion

Eileen Fisher is committed to create a thriving and open workplace where each employee feels supported. It's not surprising that there are more females in leadership roles than males in Eileen Fisher because the majority, 84% of employees are females. It's a unique workplace where males must prove themselves more. While they do have some racial diversity, they need to bring in more people of color into corporate and leadership positions. There are only 23% of people of color that hold leadership roles, and only 13% are part of the Board of Directors. Throughout the entire company currently 68% are white and 32% are people of color. Majority of the people of color work in their distribution and fulfillment center, 98% versus only 4% white. Only 35% people of color work in corporate and 23% work at the store level (Eileen Fisher, 2019).

There are four key areas they will be focusing to improve their diversity and inclusion. First being data which they will assess where they are at quarterly with leadership. They've partnered with an external consulting firm, The Winters Group to help them focus on this task by facilitating workshops to educate how to build a more culturally diverse and inclusive workplace. Videos, tutorials, articles and comprehensive toolkits regarding diversity and inclusion will be a lot more easily accessible and be posted more frequently for all employees to access through their intranet, fishNET. Finally, addressing the needs and concerns of both employees and consumers by reaching out individually and understanding their viewpoint. Addressing it directly with those concerned will give them great insight so they can create meaningful change. The company is constantly striving to attract the best talent by having mentoring meetings with young professionals to help with their hiring program. Another concern for them is making sure they are searching for individuals in a diverse pool of job seekers. They do this through their summer internship program and contracting with Diversityjob.com to expand their search for more diverse talent. All of these changes will be led by a team at EF. They will use surveys and data to help drive this mission to get employees engaged and create change internally (Eileen Fisher, 2019).

Commitment to Sustainability

2020 is a big year for EF. Five years ago, they made a commitment to only use sustainable materials to create their products. While 2020 isn't over just yet and even with everything happening in the world, they are still striving to reach their goal. For example, using responsibly sourced feather down wasn't on the company's radar, but in just 2 years, the organization was able to make the shift and now use 100% responsibly sourced feather down. Cotton and linen are both 98% sustainably sourced. They are at 79% recycled or responsibly sourced wool and believe they can reach their goal in 2025 (Eileen Fisher, 2019). "In 2019 we sourced 47% of our wool from regenerative farms that make the land more resilient and increase biodiversity, an amount we're committed to increasing moving forward. We're already one of the largest purchasers of regenerative wool in the apparel industry" (Eileen Fisher, 2020).

Opportunities for improvement still exist across materials, dye application, and energy usage. The material needing the most sourcing improvement for EF is Tencel. Only 64% of their Tencel is sustainable. Sustainability in fashion isn't just about material, it's also about the chemistry to create the great colors that draw us to products. Their goal of sourcing 40% of products that are bluesign certified or bluesign approved fell to 29% in 2019 due to changes in dyehouses. However, they are currently improving and working with new dyehouses to help them get their bluesign certification. They could easily go find a dyehouse that has the bluesign

certification, but instead are helping dyehouse's get that certification to help not only themselves, the dyehouse business but also allow other companies to benefit from it too (Eileen Fisher, 2019). Producing, manufacturing and selling items require energy to power buildings and factories, so reducing energy and using renewable energy sources is a priority. However, with their recent expansion they unfortunately increased their energy usage 40% in 2019 from their 2015 baseline, since no energy reductions were put into place in 2019. While this isn't ideal, they began purchasing wind powered renewable energy credits 8 years ago to cover all their buildings to offset their energy use. Eileen Fisher met their 2020 transportation emissions goal by a 20% reduction by switching some of the transportations from airplanes to cargo ships (Vision, 2020).

Eileen Fisher partnered with The Council of Fashion Designers of America (CFDA) and had fashion designers be part of a mentorship and training program. During this program they had fashion designers create sustainable pieces of clothing using the clothing and material from their clothing take back program (Weber, 2019). When they showcased the designers clothing everything sold out and proved to Eileen Fisher's team that there was something to be done about all the returned clothing and reusing materials to give them a second chance. This also brought awareness to the community that reusing materials could still produce great pieces. This event helped catalyzed EF to put more effort into their clothing take back program Renew and Waste No More to help reduce fashion waste. These programs give the opportunity for clothing pieces to have another chance at being worn by being repaired, re sewn to another product or becoming felt. Since its launch in 2009, they have collected 1.39 million pieces of clothing and have been able resell or reuse those pieces. They believe in taking responsibility for where their clothing ends up. Since there are very few companies that have the knowledge and capabilities to remanufacture clothing, EF decided to take it into their own hands learn as they go in hopes to create best practices. Their focus and urge to explore new alternatives have made them innovative in textile remanufacturing (Weber, 2019). They hope to end the terrible consumerism cycle that is occurring in the fashion industry and extends the lifespan of clothing and materials.

Business Model: Circular Fashion

Eileen Fisher is focused on the circular approach in order to eliminate waste and reusing resources to create new products, so everything comes in full circle. It's a concept that is extremely important in the clothing industry since so much waste is being produced by fast fashion. It also helps bring awareness to the people behind the clothing, the farmers and their land, water resources, the workers in the factories and most importantly our planet. While most company's main concerns are profit, EF has shown everyone that profits can follow even if you do spend more money on purchasing pricier organic materials. They are doing this by using organic and sustainable materials to create timeless pieces. Creating timeless pieces will help limit the need for consumers to purchase fast fashion and items that will be tossed aside at the end of the season. Clothing should be around for a while and consumers should be aware of the importance of holding on to these products. With their transparency and the ability for consumers to know exactly where their products are coming from, they are more willing to pay a higher price for better quality item and know they are helping and not contributing to climate change. Eileen Fisher is an example of a financially successful circular fashion business model with committed values, leading the way in sustainability and hopes to inspire more companies and businesses to join the movement and become more innovative and together they can create real change.

Market Differentiation: Clothing Has Three Lifetimes

Eileen Fisher clothing is priced higher to help incentivize consumers to hold on to that product longer. At a point in time that consumer will want to let go of that item and EF hopes to inspire these consumers to send back their items since they believe in selling their clothing twice, and that clothing has three lives. First life is the timeless pieces EF creates. Second Life is when a consumer doesn't wear the pieces anymore and can send it back to EF. Most pieces sent back are in great condition, so they can be cleaned and resold through Eileen Fisher's Renew program. This gives opportunities for the consumers that typically can't afford higher priced EF items to get them at a discounted price. It's promoting purchasing second hand and helps promote sustainability. Third Life is when a piece is too worn, stained, has holes or is beyond repair. These pieces will be sent to the Waste No More team where they are deconstructed and made into artwork, pillows and felt (Eileen Fisher, 2020).

When trying to figure out what they could reuse scrap materials they accumulated, they ended up developing their own felting machine which would take those scraps to create soft beautiful felt which would then be used by their Waste No More team and with their collaborations. One of these collaborations was with West Elm, a home furnishing company, has allowed EF to expand awareness of reusing materials and their cyclical model. While there are tremendous benefits of the Renew and Waste No More program, there are some downsides. Currently these programs use a lot of resources to function and the benefits don't outweigh the cons yet. Hopefully over time, if they can expand and bring in more older pieces of clothing and convince other companies to do the same, then there would be enough of an opportunity created for EF and for the industry to see the impact they have on the environment.

Competitive Advantage: Helping Other Organizations Succeed

Their impact is in the company's mission and value. Taking steps towards sustainability and human rights early on has made them a leader in this realm within the fashion industry. While most companies see knowledge as a competitive advantage, EF very willingly helps others and is a great resource for other companies and designers to learn from them. While there isn't a one size fits all approach solution to becoming a sustainable company, EF is willing to guide and help those that want their guidance. They've had companies and designers shadow them and have meetings showcasing what they know and how they go about processes. EF is also part of many private large networking groups for B2B, where they share their best practices, giving them insight into their supply chain and ESG work. They learn from each other and bounce ideas. It's also important to note that Eileen herself is still very much involved in all the processes and decisions. She's been doing this for a while and does have some hesitation with certain modernizations that could be done to the company. This resistance to change is being more apparent now that there are companies surpassing them and EF is beginning to fall behind a bit compared to these brighter and younger companies (A.Hall. personal communication, November 6, 2020).

Eileen Fisher is involved in many partnerships to help other businesses align and commit to better change as well. They also work closely and collaborate with many farmers, factories and other businesses within their supply chain to help them become more sustainable and improve their working conditions. Providing funding helps these farmers and businesses become more innovative and improve their technology. Those farmers, companies and EF are not the only ones who benefit. It also helps other companies that will be working with and purchasing

materials from these companies or farmers. Giving the opportunity for a more sustainable and cleaner resource to be available for more companies.

Doing business for good will always be a priority for EF. They've shown that through their internal work with sustainability within their supply chain and business, and they also do it externally through charities and volunteer work. Employees and partner organizations all get involved to help facilitate donations, pro bono work, match gifting, funding nonprofits, community projects and much more. They've always been generous with their corporate philanthropy and in 2019, despite a downturn in revenue still managed to donate \$675,000 to 178 organizations (Eileen Fisher, 2019).

Future-Looking Initiatives

Horizon 2030 is the next step for Eileen Fisher to show the industry what it can do to effect positive climate change. They have made a commitment to do so with the Science Based Targets Initiative (SBTi) and 800 other companies. "EILEEN FISHER, INC. commits to reduce absolute scope 1 and 2 GHG emissions 100% by 2025 from a 2017 base year. EILEEN FISHER, INC. also commits to reduce absolute scope 3 emissions from purchased goods and services and upstream transportation and distribution by 25% by 2025 from a 2017 base year" (Science based target, 2020). Most of their emissions comes from production and shipping of products, the remainder 3% of their emissions come from buildings and operations. They will continue to add and improve the goals created with Vision 2020 (Eileen Fisher, 2020).

Eileen Fisher's focus to reduce emissions will be focused on three main parts of their supply chain: raw materials, industrial processes and inbound transportation. Just like the credits they purchase to offset their electricity use; they plan on doing the same thing for their air shipping. They have been purchasing carbon offsets through NativeEnergy since 2011 and will continue to do so until they are able to adjust, coordinate and establish better timing of their product life cycle to account for sea shipments (Science based target, 2020). Their advocacy of using renewable energy is seen locally and globally through their membership in the Renewable Energy Buyer Alliance (REBA). EF is different in that their goal isn't just to use sustainable materials and reduce their emissions, they are helping farmers along the way to improve their business, emissions and help educate and invest in their agriculture practices. While internal shifts are great, external changes need to also occur simultaneously for more improvements in climate change. EF is getting involved in creating change through public policies by partnering with a network of companies called Ceres BICEP (Business for Innovative Climate and Energy Policy) (Eileen Fisher, n.d.).

Eileen Fisher reduced their risk by working with the same farmers and factories. Their closeness in helping these businesses grow and investing in them benefits many but ultimately will help strengthen and keep the relationship strong between EF and them. This allows small chances of miscommunication and consistency with products. The consistency with their products will be the same since they're working with the same farmers and factories. Timing is an extremely important aspect to helping them reducing their emissions. If they're able to establish good relationships with farmers and people they work with within the supply chain then it reduces the risk of timelines being altered, which would cause a shift in their timeline and mostly likely lead to increased emissions for EF. Finally, reducing their emissions will help many factors within their business and improve sustainability.

Financial Analysis and Success Indicators

Eileen Fisher is a unique private company that has never taken money from any outside investors and since its founding has remained completely financially independent proving they are an all-around sustainable company from their products to their financials (A. Hall, personal communication, November 6, 2020). Eileen Fisher had a vision and “in 1984, then a 33-year-old graphic artist living in New York City, she took a risk, starting her own women’s clothing line with just \$350 to invest” and has turned EF into a company worth over \$400 million (Close, 2015).

Employee Stock Ownership Plan

Eileen Fisher also has implemented an Employee Stock Ownership Plan, which means that all employees have a stake in the company. The ESOP makes up 42% where no one is allowed more than 5% of ownership and Eileen Fisher Herself owns the other 58% (Eileen Fisher, 2017). All Eileen Fisher employees split 10% of revenue every year evenly amongst them (A. Hall, personal communication, November 6, 2020).

Quadruple Bottom Line

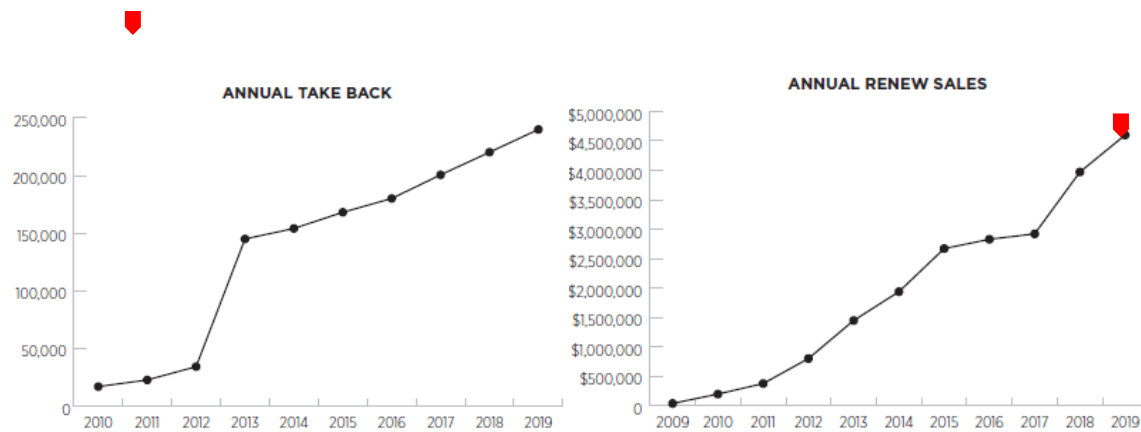
Eileen Fisher goes beyond the more traditional triple bottom line with their quadruple bottom line approach. Eileen Fisher made this statement: “As a B Corp, we are driven not only by profitability, but also by our responsibility to the environment and the people in our supply chain—as well as the people in our own offices, stores and warehouses. We are a business committed to being a force for good, one that measures our impact across four areas: Financial, Environmental, Social and Employee Well-Being. This Quadruple Bottom Line is one way we measure our progress toward achieving our purpose” (Eileen Fisher, 2018).

Overall B Impact Score

A non-financial indicator of success for B corporations is the Overall B Impact Score, which rates companies after they become a certified B Corporation. Eileen Fisher and Organic Basics are the only companies in the slow fashion industry that are certified B Corporations. EF has been a certified B Corporation since 2015. The four categories of measurement for this score are governance, workers, community, and environment. During its first year as a B Corporation, EF’s overall B Impact score was 81.6. The minimum score to be a become a certified B Corporation is 80. Since 2015, Eileen Fisher has improved its score to 96.2 as of 2019 while Organic Basics had a score of 92.8 (B Lab, 2019). In 2019, EF’s highest scoring category was environment at 32.1, followed by workers at 27.5, next was community at 22.0 and in last was governance at 14.4 (B Lab, 2019).

Renew

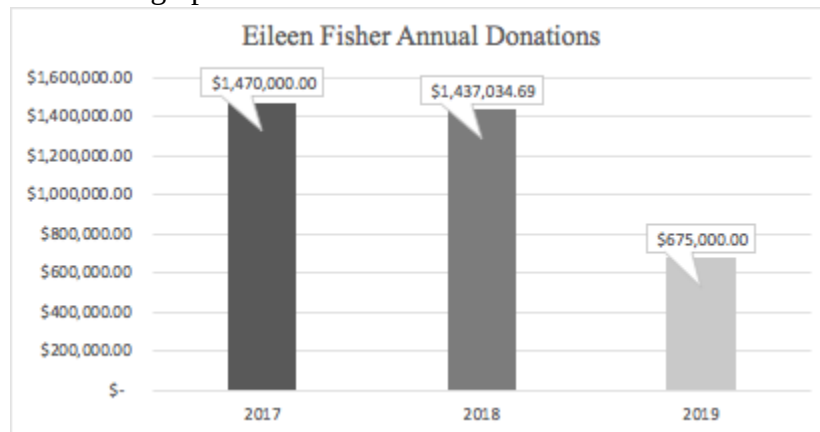
In 2019, EF won the Positive Change Award from The Council of Fashion Designers of America, Inc. for “accepting 1.2 million pounds of her used garments for upcycling” through their Renew program (Phelps, 2019). This program, launched in 2009, allows consumers to return any Eileen Fisher items back to Renew locations so that it can be repurposed and sold as another item rather than it become waste. EF has a focus on lessening the waste impact they have. Renew and other programs they implemented have allowed them to reduce their waste and repurpose damaged or outdated products. Renew donations and sales have increased steadily since 2009 as show in the graphs below.



Graph Images: (Eileen Fisher, 2019).

Donations

Eileen Fisher donates thematically every year to certain causes and organizations. In 2017 and 2018, the donation theme was “the empowerment of women and girls, supporting the fair treatment of all people or preserving the environment” (Eileen Fisher, 2018). In 2019, due to declining sales, Eileen Fisher had to reduce donations and changed the donation theme to “Supporting women in environmental justice” (Eileen Fisher, 2020). The amount of donation per year is demonstrated in the graph below:



COVID-19 Pandemic Information

Eileen Fisher released limited financial information as a private company. Eileen Fisher reports have indicated that sales have been down over the past two years which has led to layoffs and shifts in company culture (Eileen Fisher, 2019). The COVID-19 pandemic has likely shown that the slow fashion industry is not recession proof as it requires substantial amounts of discretionary income to be spent. People are much less likely to spend money on expensive clothing when they are uncertain about their future and reside in their homes a majority of the time. Due to these difficulties, Eileen Fisher has likely continued to have increasing sales and loss of employee morale over the past few months. It is no secret that the pandemic has decreased financial outcomes for companies all over the world. With the declining sales over the past two years and the unfortunate impact of the pandemic, Eileen Fisher will have to be strategic to recover and remain competitive in the slow fashion industry.

Conclusion & Recommendations

This is a pivotal moment for EF. The mainstream is catching up with and in some cases overtaking the company in the values it has had for decades. With millennials and Gen Z at \$350 million spending power annually, this moment should be Eileen Fisher's to lose. The question is whether EF will be able to repackage the value proposition that they have worked so hard to build to compete with the smaller brands that have been inspired by them and clearly express their value proposition to today's shopper.

In the spirit of their clothing style, we will start with practical details. Only 20% of EF's sales come from online and Ms. Fisher herself has expressed a desire to augment that number. The days of walking into a store at your local mall, building a relationship with sales staff, and dropping several hundred dollars have not ended, but certainly have become less important to companies' sales strategies and even more so during the pandemic. If EF wants to build online sales and stay relevant in the era of the "Digital Landgrab", they will have to redesign their digital presence starting with their website. Our team found multiple Error 404 pages from links throughout the website as well as conflicting links between top and side ribbons. These are simultaneously small, easily fixed, and consequential mistakes that determine whether a customer will make a purchase or not before leaving the site and it is a shame that we must bring it up here.

Because EF focuses on comfort, fabric quality, and minimalistic style, it is well-positioned to appeal to plus shoppers. However, this is a long-disenfranchised group and cannot be drawn in through passive appeals. Smaller brands and especially ateliers in the same price range are leveraging influencers who can communicate design features intended to benefit this \$20 billion-dollar customer base and backing their claims by featuring plus-sized models in their product listings. EF uses straight-sized models in their plus-sized product listings, which will absolutely lose a plus-shopper's trust the moment she discovers this. The importance of this failure cannot be understated. Like the aforementioned website issues, it also has a straightforward and relatively inexpensive fix. EF has also long promoted its flowy silhouettes including its signature "box tops" which fall straight from the shoulder to the hip and don't have a defined waist. Unfortunately for EF as they attempt to capture a part of the sustainable luxury plus-sized market share, many dressing guidelines center around creating a defined waist and ensuring a clean aesthetic because the industry has historically disenfranchised this shopper with poor-fitting clothes. EF's signature loose and layered clothing will generally not appeal to this customer base unless they conduct both primary and secondary market research and design with them in mind.

EF once created its own stylistic Blue Ocean with Japanese-inspired basics to revolutionize dressing for professional women. However, its blue ocean is turning red and it must update its style to avoid a race to the bottom. Currently its virtuous sustainability initiatives lend it more toward the "pure green" customer – the kind who, as Amy Hall said, writes in to ensure that workers are making a living wage in safe conditions. However, we argue that EF can retain these customers while conforming to a more holistic brand image. This is more consistent with its current B score just above passing, which may keep them from impressing the greenest of the pure green shoppers who may already be more invested in the success of smaller brands and ateliers. To achieve a holistic brand image, EF needs to focus down on the quality and function of its products. Customers need to say, for instance, "I need a comfortable pair of sustainable pants" and think of Eileen Fisher. Simply appealing to sustainability is not enough to keep it afloat.

EF must take inspiration from the brands for whom it paved the way and who are doing a better job of paying attention to trends in slow fashion. Overriding trends include defined waists and utilitarian features. Kowtow is a New Zealand company that uses fair-trade labor and organic cotton; its boxy tops and flowy pants are quite reminiscent of EF, but it wins out by offering a more artistic style and distinct aesthetic for each seasonal collection. Similarly, Mara Hoffman is a brand with high eco-credibility in the community and an appealing mix of trendiness and longevity. Whimsy + Row is an LA-based company and workshop that EF should watch for youthful appeal within its stylistic wheelhouse. They use deadstock materials, or surplus fabric created by larger brands for production runs and thrown out when it is discovered that it is not needed. Whimsy + Row specializes in a specific pant design, the Flora Pant, and earns repeat business by offering many colors while innovating seasonally in its other product categories. Amour Vert is perhaps the most like EF in terms of its intended customer base (more mature professional women and retirees) but draws customers by incorporating color, print, and a wide variety of silhouettes into its product offering. Its “future vintage” tagline positions it in competition with EF’s “three lifetimes” motto – although it doesn’t have a takeback program, it encourages investment and at a slightly lower price point than EF.

Vetta Capsule launched on Kickstarter in 2016 and won the Saks Fifth Avenue Emerging Designer competition in 2017 with the familiar goal of simplifying professional women’s morning routine and “ending impulse shopping” with capsule wardrobes of five items combined to create thirty outfits (Kasi, 2016). This is a more sophisticated and modern take on EF’s original capsule model. Additionally, one of Vetta’s five-piece capsules can be purchased for the cost of one or two of EF’s products. Their only channel is direct sales online and enjoys regular promotion in lists compiled by the sustainable fashion community. Dress brands are having a moment as well; Christy Dawn and Reformation are both celebrated dress companies that stand to take a part of EF’s market share. Especially Christy Dawn, with a unique offering of relaxed and romantic deadstock dresses made in the US, stands to attract customers in much the same way that EF once did. EF has very few dresses and none in the style of these companies, which draw on the bohemian hippie revival of the 2010s and prove that it has a place in the long-term cultural consciousness. Finally, EF’s historically blue ocean offering of soft, sustainable staples is now commonplace. Organic Basics, Groceries Apparel, and Pact (a Boulder brand) all offer similar items and are also making inroads on their knit collections. Organic Basics especially is making themselves a household name by leveraging influencers and tracking carbon emissions.

Ultimately, EF needs to balance its iconoclastic styles with those of the smaller companies that it has inspired. Defined waists, structure, and utilitarian features are important stylistic features that EF currently lacks and could incorporate without compromising its soul. The organization has inspired and will continue to inspire many, through their breakthroughs in transparency within the industry and addressing the need for high quality and long-lasting staples. Eileen Fishers’ business model of creating a shared value proposition and serving all stakeholders involved directly reflects a commitment to the UN Sustainable Development Goals. Their influence on the textile value chain, three-tiered life of clothing, circular economy, and extensive partnerships correlate with decent work and economic growth (goal 8), industry, innovation and infrastructure (goal 9), responsible consumption and production (goal 12), climate action (goal 13) below water (goal 14), life on land (goal 15). Eileen Fisher remains a model across the fashion industry to prove that you can do well by doing good!

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